

TENTATIVE RULING

MELISSA LOPEZ VS. ANGRY CHICKZ, INC., ET AL. (26CV000524)

Defendant Angry Chickz, Inc.’s and Rick Nava’s Motion to Compel Arbitration

Hearing Date: August 7, 2026

Defendants move for an order compelling arbitration of the claims asserted by Plaintiff Melissa Lopez. Ms. Lopez is a former employee of Angry Chickz, and filed the present lawsuit asserting claims for:

1. Retaliation in Violation of Labor Code (Cal. Lab. Code § 1102.5)
2. Retaliation in Violation of Labor Code (Cal. Lab. Code § 98.6)
3. Fair Employment & Housing Act Retaliation
4. Failure to Prevent Discriminatory Practices (Gov. Code § 12940(k))
5. Negligent Hiring, Supervision, or Retention
6. Wrongful Termination in Violation of Public Policy
7. Failure to Pay Overtime Wages (Cal. Lab. Code §§ 510 and 1194)
8. Failure to Pay Minimum Wages (Cal. Lab. Code §§ 1194, 1194.2, and 1197)
9. Failure to Pay Wages (Cal. Lab. Code § 204)
10. Failure to Provide Meal Periods (Cal. Lab. Code §§ 226.7, 512)
11. Failure to Authorize and Permit Rest Periods (Cal. Lab. Code § 226.7)
12. Failure to Provide Accurate Itemized Wage Statements (Cal. Lab. Code § 226)
13. Statutory Waiting Time Penalties (Cal. Lab. Code §§ 201-203)
14. Unfair Business Practices (Cal. Bus. & Prof. Code §§ 17200, et seq.)

Plaintiff opposes the motion on the grounds that:

1. The arbitration agreement is unenforceable under the federal Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act (“EFAA”);
2. The Defendants failed to establish the existence of a valid arbitration agreement;
3. The Defendants waived their right to arbitration; and
4. The arbitration agreement is unconscionable.

The Motion is **DENIED** on the basis that the arbitration agreement is unenforceable at Plaintiff’s election under the EFAA.

On a motion to compel arbitration, the moving party bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (*Engalla v. Permanente Med. Grp., Inc.* (1997) 15 Cal.4th 951, 972.) If this burden is met, the burden shifts to the party opposing arbitration to prove by a preponderance of the evidence any fact necessary to its defense against enforcement of the agreement. (*Id.*) The trial court “sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination.” (*Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 CA4th 836, 842, 181 CR3d 781, 786; *Gamboa v. Northeast Community Clinic* (2021) 72 CA5th 158, 164-165, 286 CR3d 891, 895-896.)

Defendants meet their initial burden of establishing the existence of a valid arbitration agreement. The evidence presented by Defendants meets the standard for authentication of an electronically signed arbitration agreement, as laid out in *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047. Defendants have not waived their right to arbitration by filing this motion approximately two months after answering the complaint and asserting the arbitration agreement as a defense. Further, Plaintiff has failed to present evidence establishing that the arbitration agreement is either procedurally or substantively unconscionable.

With respect to the EFAA, that Act provides:

Notwithstanding any other provision of this title, at the election of the person alleging conduct constituting a sexual harassment dispute or sexual assault dispute, or the named representative of a class or in a collective action alleging such conduct, no predispute arbitration agreement or predispute joint-action waiver shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law and relates to the sexual assault dispute or the sexual harassment dispute.

(9 U.S.C.A. § 402.)

Additionally, section 402(b) states that “[a]n issue as to whether this chapter applies with respect to a dispute shall be determined under Federal law.”

In her complaint, Plaintiff alleges that she was retaliated against by Defendants for reporting alleged sexual harassment of other individuals in the workplace. Further, Plaintiff confirms in her opposition that she elects to make the arbitration agreement unenforceable under the EFAA.

Defendants contend that the EFAA does not apply to this case because it is primarily a wage and hour case, and Plaintiff’s claims relating to sexual harassment are claims that Defendants retaliated against her for reporting sexual harassment of others, not herself. However, the Plaintiff points to relevant authorities that expressly interpret the EFAA to apply to claims of retaliation resulting from a report of alleged sexual harassment. (*Olivieri v. Stifel, Nicolaus & Company, Incorporated* (2d Cir. 2024) 112 F.4th 74, 92 [“retaliation resulting from a report of sexual harassment is ‘relat[ed] to conduct that is alleged to constitute sexual harassment.’ 9 U.S.C. § 401(4); see *Johnson*, 657 F. Supp. 3d at 551 n.13, 559 (reaching same conclusion).” Defendants provide no authority for their argument that the report must be one about alleged sexual harassment of the plaintiff herself, and the court does not find this argument persuasive.

Doe v. Second Street Corp. (2024) 105 Cal.App.5th 552, *Liu v. Miniso Depot CA Inc.* (2024) 105 Cal.App.5th 791 and *Casey v. Superior Court* (2025) 108 Cal.App.5th 575 are also instructive. These cases hold that when there is one claim that relates to “sexual harassment”, arbitration is precluded under the EFAA as to all claims in the lawsuit, even those that are unrelated to sexual harassment. Accordingly, the remaining claims in Plaintiff’s complaint may not be arbitrated based on application of the EFAA to her retaliation claims.

Plaintiff is to prepare the court’s order consistent with the tentative ruling.

NOTE RE: TENTATIVE RULING

This tentative ruling becomes the court's order, and no hearing shall be held unless one of the parties contests it by complying with Rule 3.1308 of the California Rules of Court and Monterey County Local Rule 7.9.

Those parties wishing to present an oral argument must notify all other parties and the Court no later than 4:00 p.m. on the court day before the hearing; otherwise, NO ORAL ARGUMENT WILL BE PERMITTED, AND THE TENTATIVE RULING WILL BECOME THE ORDER OF THE COURT AND THE HEARING VACATED.

You must notify the court by emailing TentativeRulings@monterey.courts.ca.gov or by telephoning the Calendar Department at (831) 647-5800, extension 3040, before 4:00 p.m. on the court day before the hearing.